

Options: Chain, Moneyness and Straddles

A visual introduction to the option chain, long and short straddles, and a trend-indicator example.

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Educational illustrations and plain-English explanations. Review the examples with your own chart and risk plan.

1 Option chain and open interest

An option chain displays available strikes and expiries for an underlying, with calls (CE) and puts (PE). Compare the underlying, expiry, strike, premium and contract size before reading a position.

Open interest counts outstanding contracts that have not been closed or expired. It does not by itself predict the next price move.

2 ITM, ATM and OTM

For an illustrative underlying value of 19,700, moneyness differs between calls and puts:

Strike	Call (CE)	Put (PE)
19,600	ITM	OTM
19,700	ATM	ATM
19,800	OTM	ITM

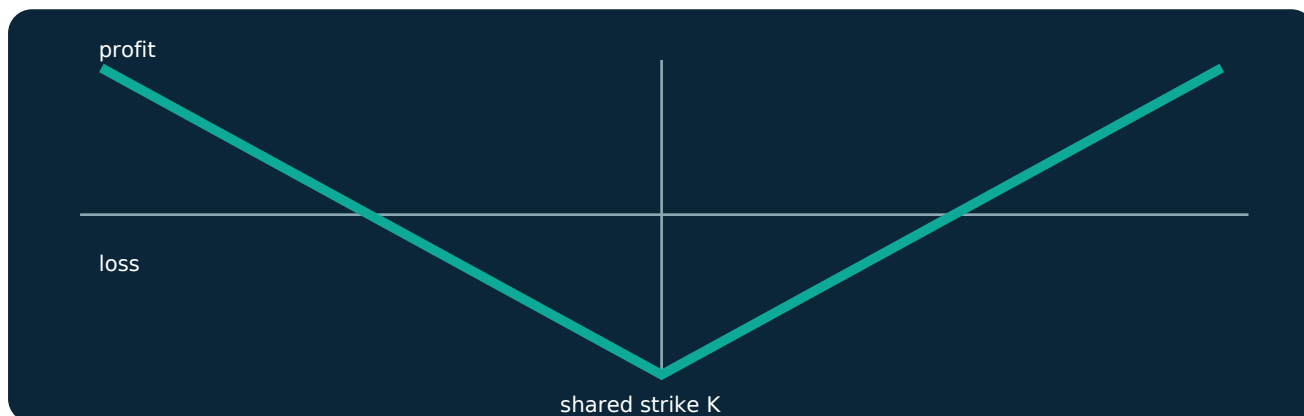
ITM = in the money; ATM = at the money; OTM = out of the money. The nearest available strike is often called ATM.

3 What is a straddle?

A straddle pairs a call and a put on the same underlying, at the same strike and expiry. A long straddle buys both options. A short straddle sells both options.

For example, an index near 19,710 could use a 19,700 call and 19,700 put of the same expiry. This is a historical teaching example, not a current quote.

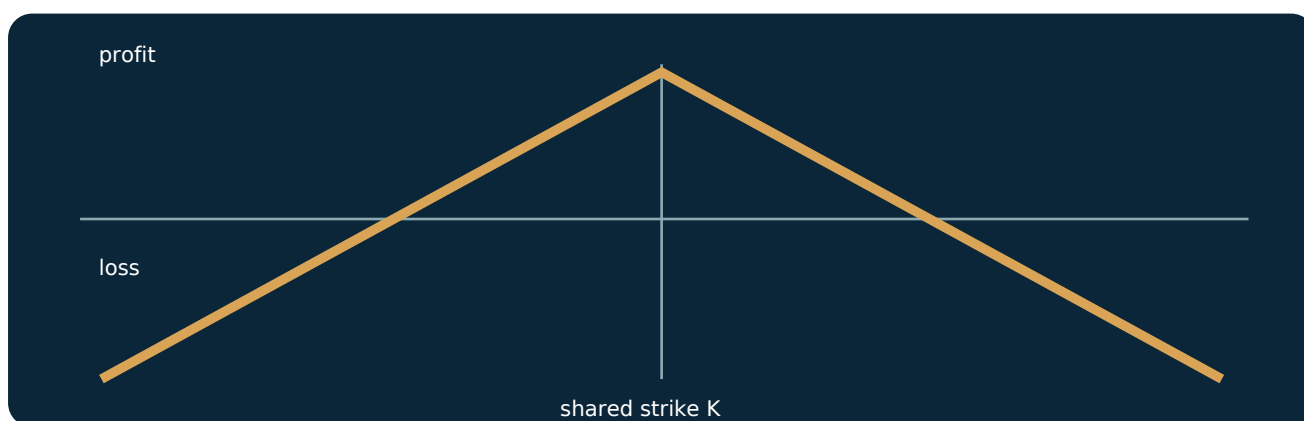
4 Long straddle



Buy the call and put. At expiry, maximum loss is the combined premium paid plus costs if the underlying ends at the strike. Potential upside gain is unlimited; downside gain is substantial but bounded by an underlying price of zero.

Break-even points at expiry: $\text{strike} - \text{total premium}$ and $\text{strike} + \text{total premium}$. Before expiry, time decay and implied volatility affect both option prices.

5 Short straddle



Sell the call and put. At expiry, maximum gain is the combined premium received before costs if the underlying ends at the strike. Loss is unlimited if the underlying rises without bound and substantial if it falls sharply.

Break-even points at expiry: $\text{strike} - \text{total premium}$ and $\text{strike} + \text{total premium}$. Margin requirements and volatility can change rapidly.

6 Supertrend with a 5-period EMA

The supplied lesson presents a 5-period exponential moving average (EMA) together with a Supertrend indicator on 5- or 15-minute charts. A candle above the EMA with an upward Supertrend reading is described as bullish momentum; below the EMA with a downward reading as bearish momentum.

Indicators can give false signals. Examine price structure, liquidity, premium behaviour and an invalidation point before interpreting an indicator combination.

Schematic payoffs ignore fees, taxes, slippage and contract multipliers. Educational only; this guide is not a trading recommendation.